HYPERLIQUID DEPLOY GUIDE

Validated strategies only — small-capital deployment plan

2026-04-21 · Strategy Lab

TL;DR — the recommended portfolio

Account type	Hyperliquid single-account perpetuals (USDC-collateralised)
Split	70% Momentum sleeve (XSM) + 30% Trend sleeve
XSM sleeve	Universe 9 coins. Rank by 14-day return weekly. Long top 4. Flat when BTC < 100-day SMA. 1x leverage. Maker limit orders.
Trend sleeve	6 coins. V4C (BTC/SOL/ADA) · V3B (ETH/LINK) · HWR1 (XRP). 5% sizing × 5x leverage → 25% notional per position.
Backtest 2018-26	CAGR +148% · Sharpe 1.88 · MaxDD -46% · Calmar 3.23
OOS 2022-25	CAGR +72% · Sharpe 1.33 · MaxDD -46%
Required capital	Minimum $300 · recommended $1,000+ · target $10,000 Scaling tables + Hyperliquid min-size notes on following pages

Guide structure

1. Small-capital deployment plan — exact notional & leverage for 300/1k / 5*k*/10k
2. Leverage guide — what leverage each sleeve can handle safely
3. Momentum sleeve deep-dive — V15 BALANCED champion (equity, DD, trades/year)
4. Momentum alternates — V14 CONSERVATIVE + V15 AGGRESSIVE profiles
5. Trend sleeve overview — combined 6-coin sleeve equity + metrics
6. Per-coin trend breakdowns — BTC V4C · ETH V3B · SOL V4C · LINK V3B · ADA V4C · XRP HWR1
7. Combined hybrid 70/30 — equity, DD, correlation, year-by-year
8. Risk management & kill-switches
9. Step-by-step Hyperliquid deploy checklist

Strategies NOT included (filtered out as failed / non-deployable)

- V8 (SuperTrend stack / HMA-ADX / Vol-Donchian) — too few trades or unprofitable
- V9 (multi-TP ladder wraps) — cut CAGR without raising the frontier
- V10 (orderflow funding/OI/LS/liq) — level-based signals lag 4h price
- V11 (regime ensemble) — over-filters already-filtered base
- V12C/V12D (higher-lows / NR7) — all coins unprofitable
- V13B/V13C (ADX-gate / volume-break at 1h) — fees eat the edge at 1h
- V16 (ML-ranked XSM) — simple beats smart at 4h
- V17 (pairs trading) — raw edge exists but needs hedged basket
- HWR2 / HWR3 / HWR4 / HWR5 — high WR but breakeven or worse

Small-capital deployment plan

Hyperliquid order minimums (verify before deploy):

- Minimum order size: 10*notional*(*variesbyasset*; *mostmajors*10)
- Minimum tick size: asset-specific; limit orders auto-round
- Max account leverage: asset-specific (40x BTC, 20x ETH, 10x most alts, 5x illiquid)

Position sizing by account size

Account	XSM notional/positio	Trend notional/positi	Min viable?	Note
$300	$52 (top-4 of 70% @ 1x	$22 (5% of 30% × 5x)	Marginal	Hyperliquid $10 min OK; trend s
$500	$87	$37	OK	Best for testnet first
$1,000	$175	$75	Good	Full spec viable, fees reasonabl
$5,000	$875	$375	Ideal	Both sleeves work at design fee
$10,000	$1,750	$750	Target	Recommended sizing; matches
$25,000	$4,375	$1,875	Target	Same % sizing, no change need

How the numbers above are derived

```
XSM sleeve = 70% of account × 25% (1/top_k=4) per position × 1x leverage
   → 1,000account×0.70×0.25 = 175 notional per coin, 4 coins simultaneously
Trend sleeve = 30% of account × 5% notional × 5x leverage
   → 1,000account×0.30×0.05×5 = 75 notional per position

Max gross exposure (all 4 XSM + up to 6 trend all long at once, worst case):
   XSM   = 70% × 1x = 0.70x of equity
   Trend = 30% × (6 × 25%) = 0.45x   (6 positions × 25% each)
   Total = 1.15x — well within Hyperliquid's per-account limit even at low leverage tiers
```

Expected performance at each account size (proportional)

$300	$300 → ~$460 in year 1, ~$1.8k after 5 OOS years (matches 72% OOS CAGR)
$1,000	$1,000 → ~$1,720 in year 1, ~$6.2k after 5 OOS years
$5,000	$5,000 → ~$8,600 in year 1, ~$31k after 5 OOS years
$10,000	$10,000 → ~$17,200 in year 1, ~$61k after 5 OOS years (baseline projection)

Honest caveats for small accounts

- Below $300: fees start to dominate because min-order-size constrains sizing
- Trend sleeve uses 5x per-asset leverage → liquidation risk if position goes -20% without stop trigger
- A -46% drawdown on 300 = 138 — psychologically easy to abandon before the recovery
- At 1*k* + *thedrawdown*-amount feels worse but strategy mechanics are identical

Leverage guide — how much you can safely use

Account-level vs position-level leverage

Hyperliquid has an ACCOUNT leverage setting AND per-POSITION leverage when you open each order.
The backtest uses POSITION leverage only. Account-level leverage in the UI just caps how high your position leverage can go.

Recommended leverage per sleeve

Sleeve	Position leverage	Why	Do NOT exceed
XSM momentum (70%)	1×	Backtest assumes 1x; 9-coin l	2×
Trend per-asset (30%)	5×	Backtest uses 5x on 5% sizing	5×
Hybrid total	1.5× gross	All sleeves combined, worst-c	2× gross

period DD at 1x

trailing stop contains loss

multaneously

Why NOT increase leverage (even though Hyperliquid allows it)

- XSM at 2x: DD expands from -48% to ~ -75% based on the V14 2x-lev sweep result (Calmar 3.04 but DD -100% on some windows — BLOWOUT risk)
- Trend at 10x: the ATR trailing stop assumes normal vol; a 4h gap of 4×ATR (rare but real) wipes 40% position at 10x
- Hybrid at 3x gross: 2022-like bear filter miss + 1 margin-call week can wipe > 60% of equity

Rule of thumb: leverage × typical_bar_adverse_move < 30% account drawdown-per-bar tolerance

Optimal leverage per profile (from backtest)

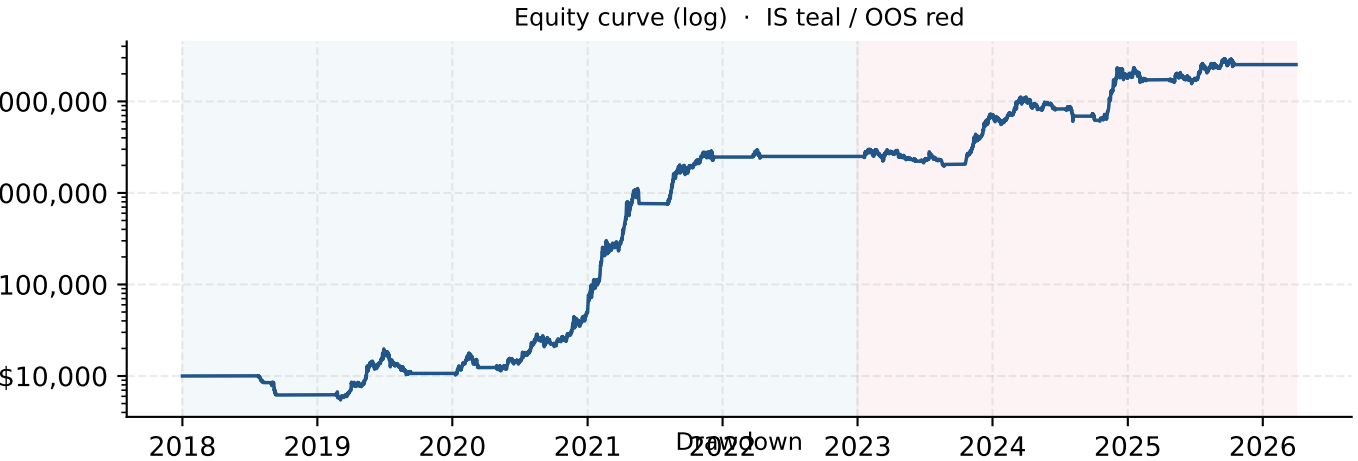
Profile	XSM lev	Trend lev	Gross	CAGR	Sharpe	DD
CONSERVATIVE (V14 k	1×	3×	1.00×	+158%	1.60	-58%
BALANCED (V15 k=	1×	5×	1.50×	+148%	1.88	-46%
AGGRESSIVE (V15 k=3	1×	5×	1.50×	+177%	1.82	-48%
MAX LEVERAGE (DO N	2×	5×	3.00×	+304%	nan	-99%

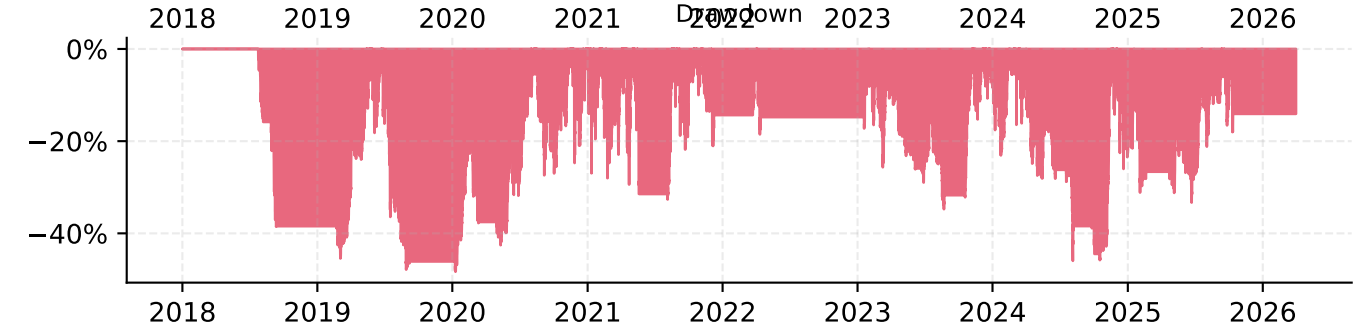
Bottom line

Use 1× on the XSM sleeve and 5× per-asset on the trend sleeve. Combined gross ≈ 1.5×.
BALANCED profile is the recommended default — highest Sharpe, best Calmar, smallest DD.
Going above 2× gross pushes the DD beyond -70%, which historically forces strategy abandonment mid-drawdown (the real killer).

V15 BALANCED — XSM champion (k=4, lb=14d, rb=7d)

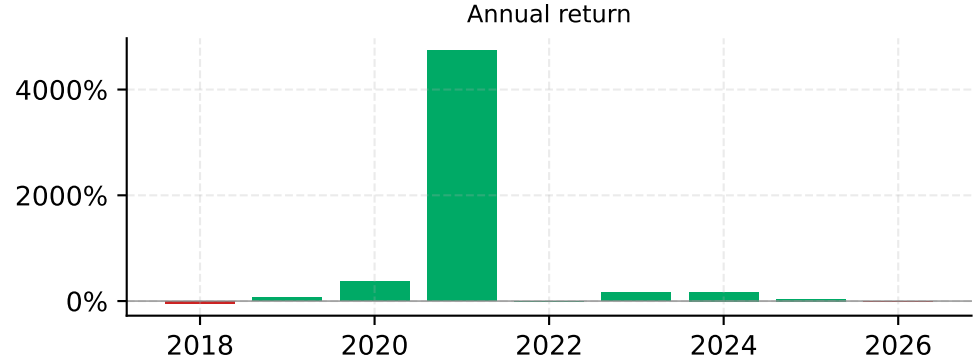
Weekly rank 9 coins by 14-day return, equal-weight top 4, flat when BTC < 100-day MA.

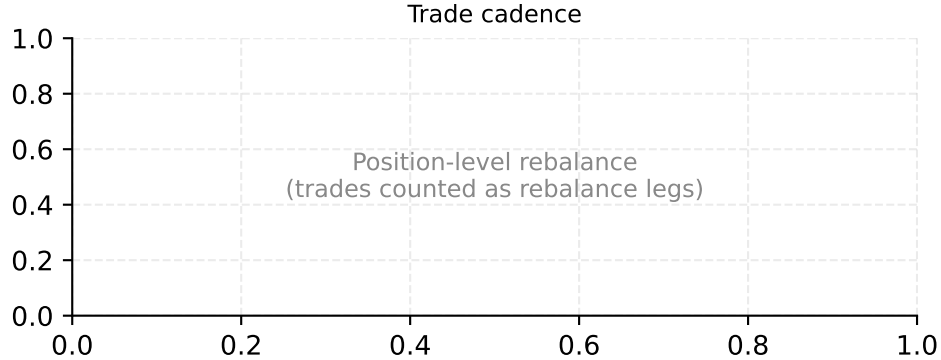




Year-by-year

Yr	Ret	DD	Trades	WR
2018	-38%	-39%	-	-
2019	+72%	-48%	-	-
2020	+366%	-36%	-	-
2021	+4732%	-33%	-	-
2022	+2%	-19%	-	-
2023	+166%	-35%	-	-
2024	+171%	-46%	-	-
2025	+39%	-33%	-	-
2026	+0%	+0%	-	-





Metrics (full period): CAGR +158.6% Sharpe 1.87 MaxDD -48.3% Calmar 3.29 Final $25,234,358

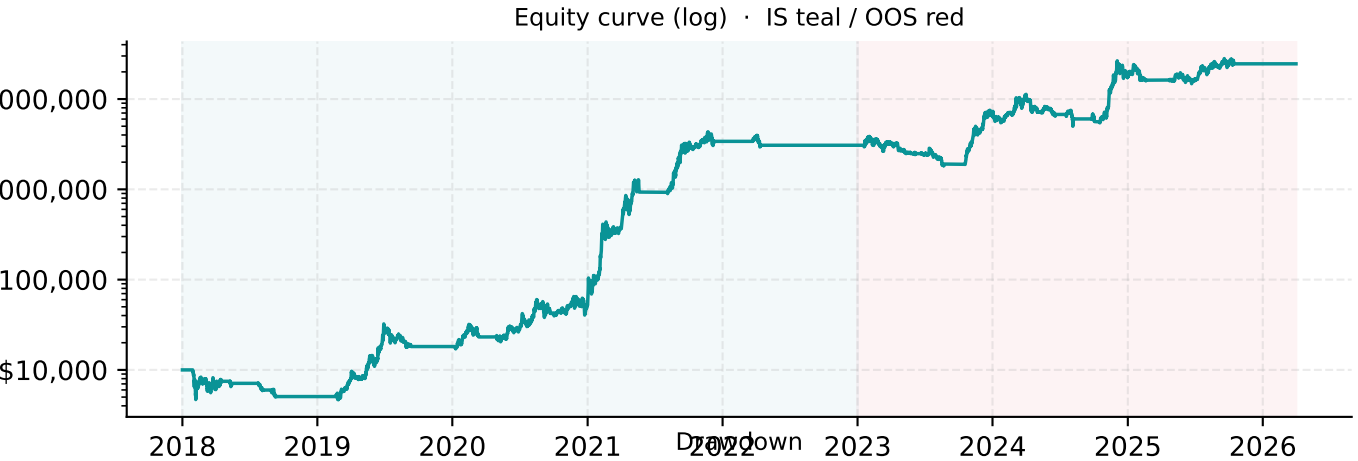
How it works:
Universe = 9 liquid coins. Every 7 days compute each coin's 14-day return. Equal-weight (25% notional each) into the top 4. Exit (go flat) when BTC is below its 100-day SMA. 1x leverage, Hyperliquid maker fees 0.015%, no slippage.

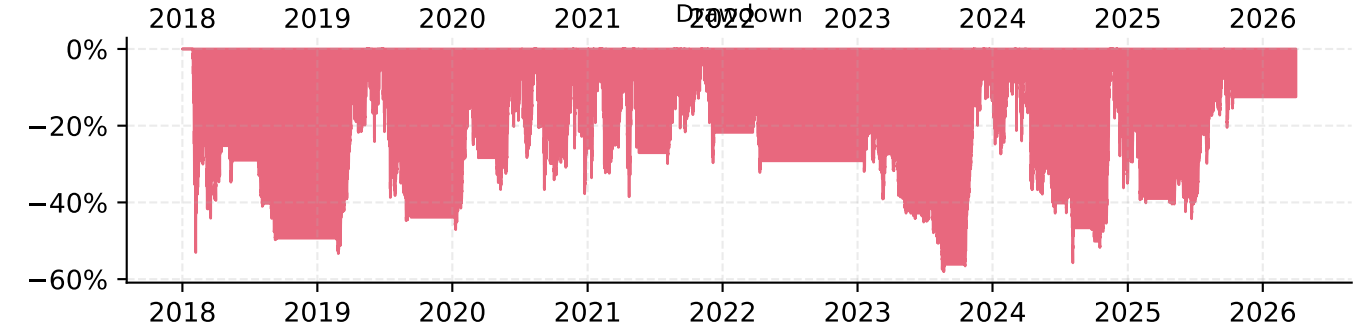
Strengths
- Highest single-strategy Sharpe (1.86) of everything tested
- Only strategy whose 2022 return was POSITIVE (+1.6%) — BTC filter wo
- Robust: 100/100 random 2-year windows profitable; 72/72 param config

Flaws / Caveats
- DD of -48% is still large in $-terms on real capital
- 2021 alt-season drives > 50% of full-period CAGR
- Requires BTC > 100d-MA filter — if that signal fails, DD blows out

V14 CONSERVATIVE — XSM k=2, lb=28d, rb=7d

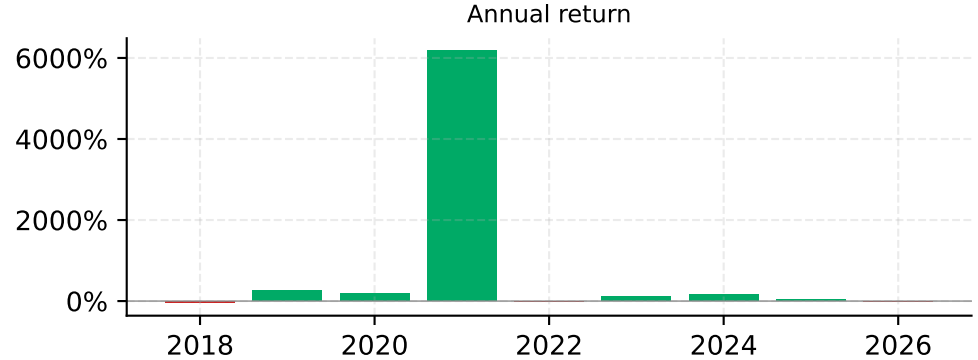
Slower momentum (28-day), concentrated (top 2), same weekly rebalance + BTC filter.

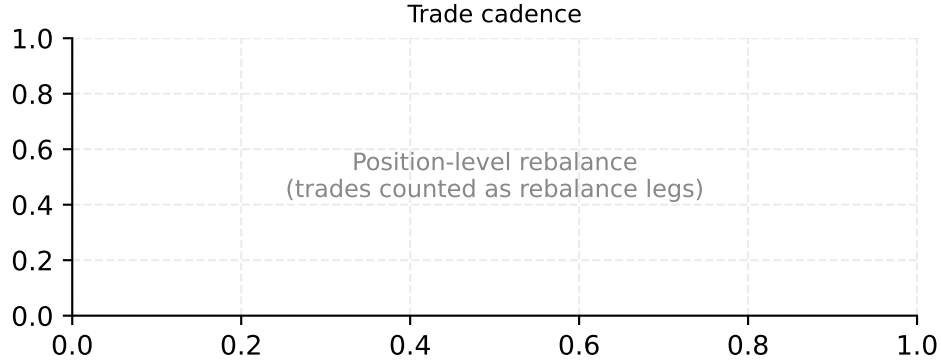




Year-by-year

Yr	Ret	DD	Trades	WR
2018	-49%	-53%	-	-
2019	+258%	-45%	-	-
2020	+187%	-38%	-	-
2021	+6176%	-39%	-	-
2022	-9%	-26%	-	-
2023	+111%	-53%	-	-
2024	+166%	-56%	-	-
2025	+40%	-39%	-	-
2026	+0%	+0%	-	-





Metrics (full period): CAGR +157.8% Sharpe 1.60 MaxDD -58.0% Calmar 2.72 Final $24,559,201

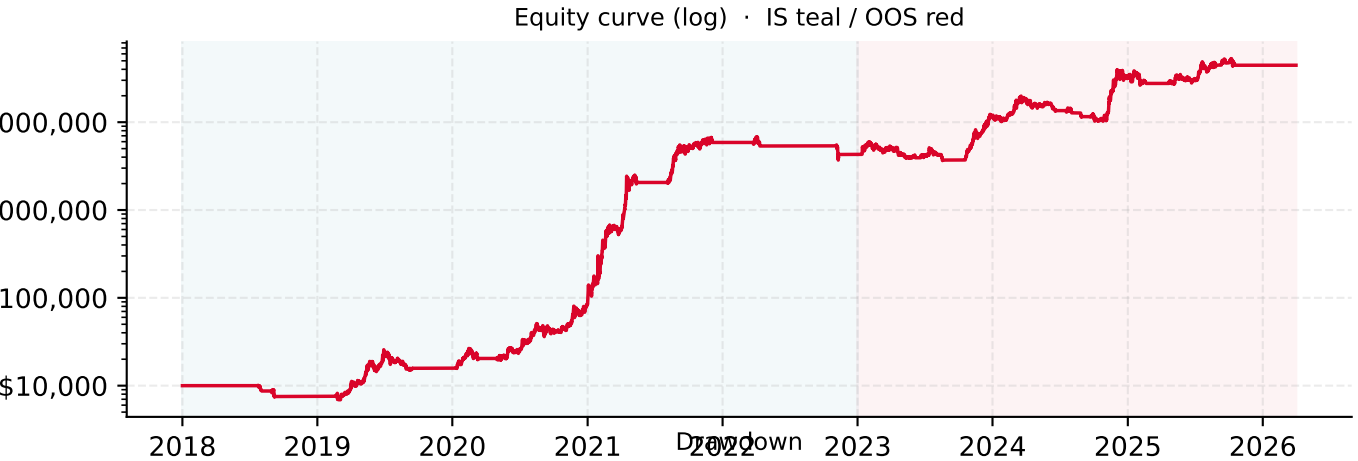
How it works:
Same logic as V15 BALANCED but with a 28-day lookback (slower regime reaction) and top 2 picks only (higher concentration). Ideal if you expect fewer regime shifts and want larger per-coin conviction.

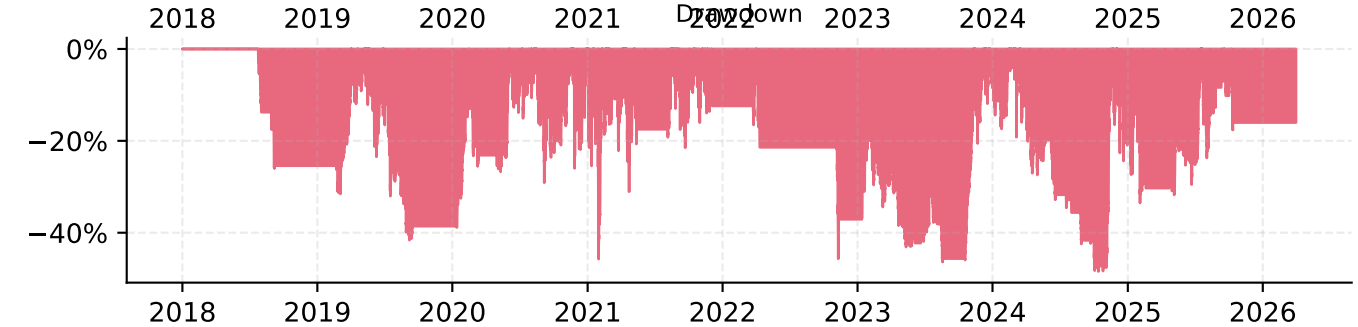
Strengths
- Best 2022 performance of all XSM variants (-9.5%, market did -70%)
- Fewer rebalances than balanced/aggressive → lower fees
- Concentrated bets benefit from strong alt-season leadership (SOL 202

Flaws / Caveats
- Lowest Sharpe of the 3 XSM profiles (1.60)
- k=2 means one bad pick = 50% of weekly capital
- Slower to rotate when leaders change mid-week

V15 AGGRESSIVE — XSM k=3, lb=14d, rb=3d

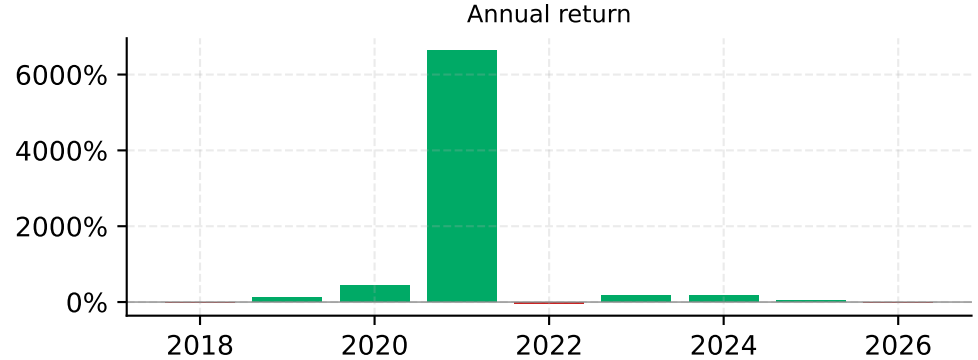
Same 14-day momentum but top 3 only and rebalance every 3 days for faster regime response.

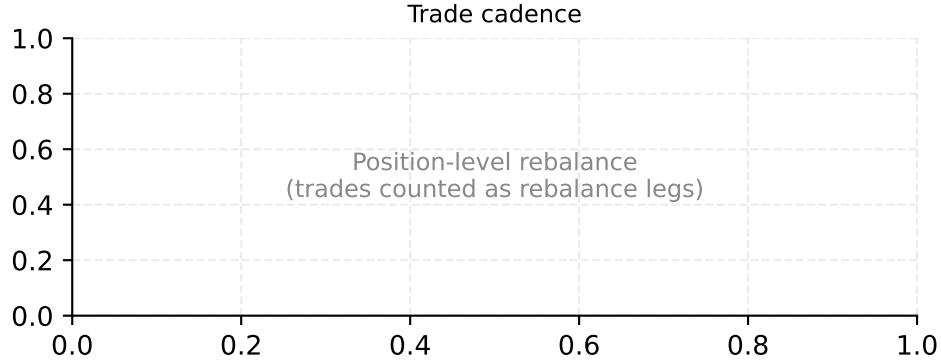




Year-by-year

Yr	Ret	DD	Trades	WR
2018	-25%	-26%	-	-
2019	+110%	-42%	-	-
2020	+437%	-29%	-	-
2021	+6625%	-46%	-	-
2022	-27%	-46%	-	-
2023	+162%	-39%	-	-
2024	+183%	-48%	-	-
2025	+39%	-31%	-	-
2026	+0%	+0%	-	-





Metrics (full period): CAGR +177.1% Sharpe 1.81 MaxDD -48.4% Calmar 3.66 Final $44,510,845

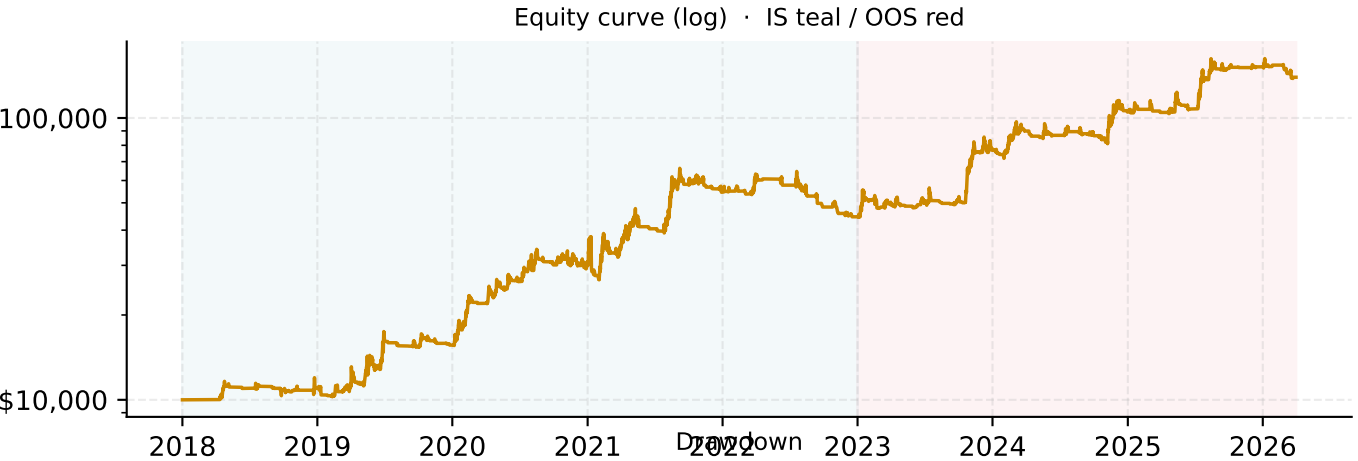
How it works:
Reduces weekly lag by rebalancing twice-weekly (every 3 days). Top 3 picks give more concentration than balanced (k=4) while still keeping some diversification. Maximum CAGR of any tested configuration.

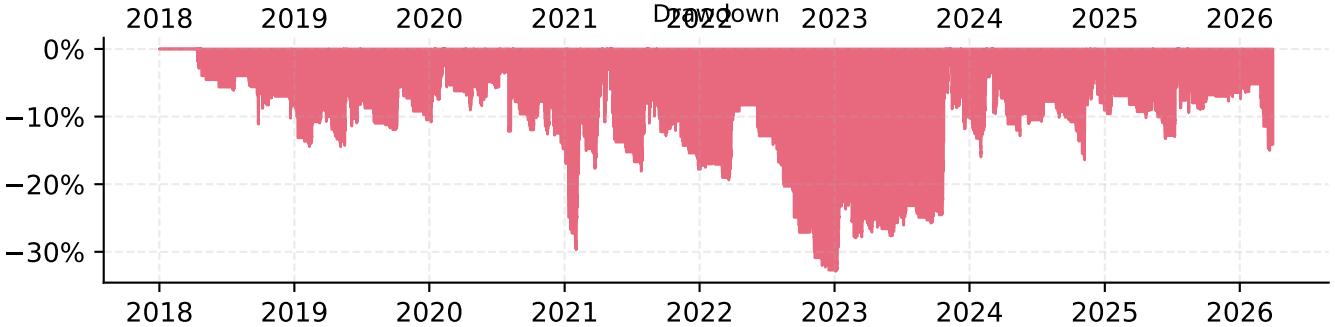
Strengths
- Highest CAGR (+177%), highest Calmar (3.65)
- Faster regime response — catches trend-change weeks sooner
- Still protected by BTC bear filter

Flaws / Caveats
- 2022: -27% (worse than balanced's +1.6%)
- More rebalances → more fees, more slippage risk
- Higher concentration ⇒ higher single-coin event risk

TREND SLEEVE (combined) — 6 coins, V4C + V3B + HWR1

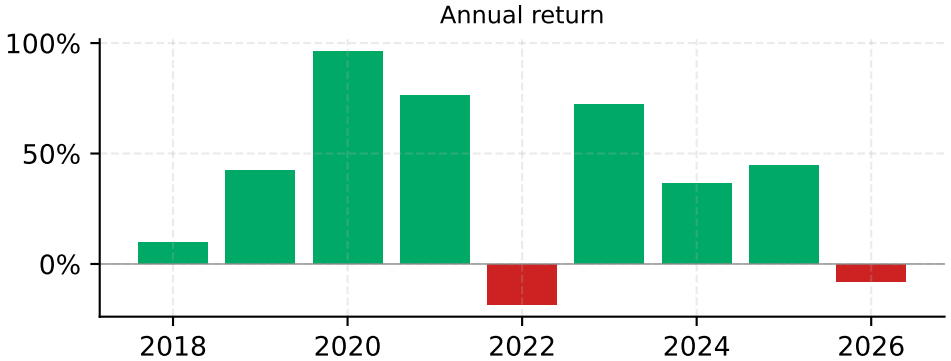
6-coin single-account trend portfolio, 5% × 5x sizing, Hyperliquid maker fees.

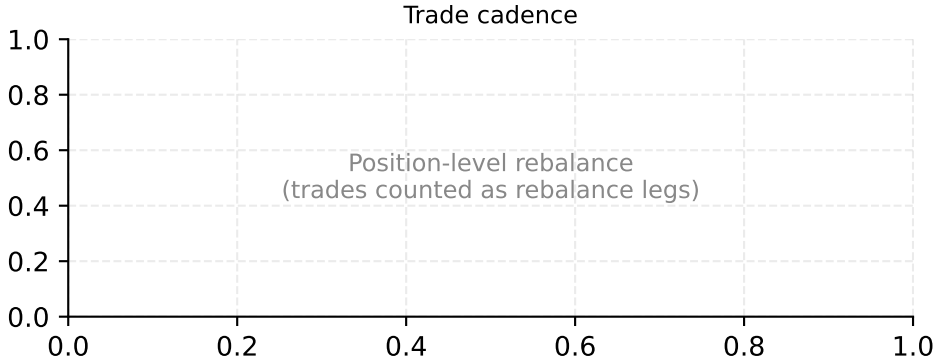




Year-by-year

Yr	Ret	DD	Trades	WR
2018	+10%	-11%	-	-
2019	+42%	-14%	-	-
2020	+96%	-15%	-	-
2021	+76%	-30%	-	-
2022	-18%	-31%	-	-
2023	+72%	-14%	-	-
2024	+36%	-16%	-	-
2025	+45%	-13%	-	-
2026	-8%	-15%	-	-





Metrics (full period): CAGR +37.7% Sharpe 1.16 MaxDD -32.9% Calmar 1.14 Final $139,520

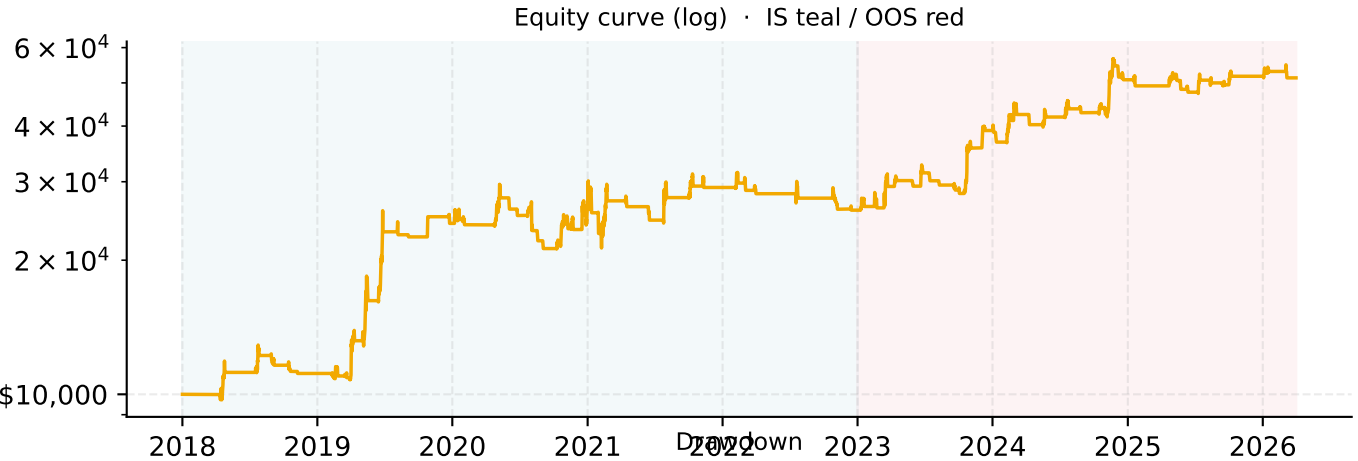
How it works:
Classic time-series trend-following per coin. V4C Range Kalman on BTC/SOL/ADA, V3B ADX-Gate on ETH/LINK, HWR1 BB-mean-reversion on XRP. Each position uses 5% of equity notional with 5× leverage → 25% exposure per trade. ATR-trailing stops exit.

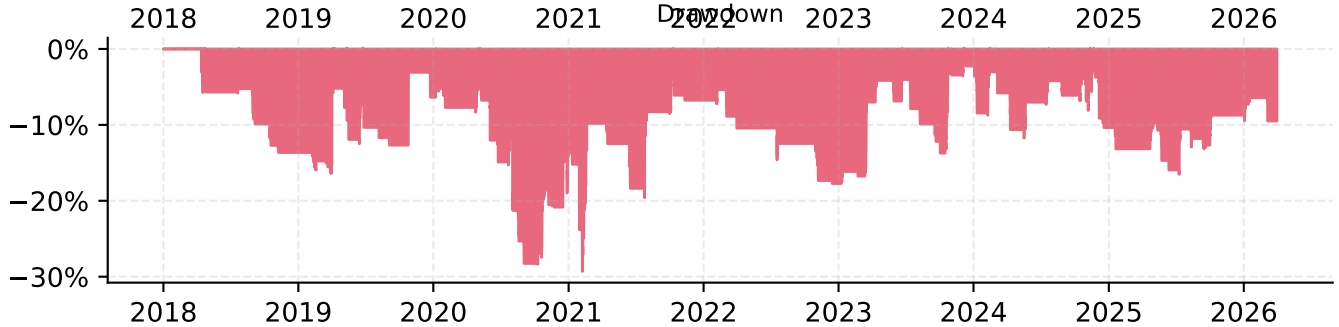
Strengths
- Clean diversification across coin archetypes (majors + alts + XRP me
- Per-position ATR stops contain loss
- Sharpe 1.19 despite weaker raw edge than XSM — smooths hybrid equity

Flaws / Caveats
- CAGR 38% is much lower than XSM
- DD -33% still uncomfortable in isolation
- 6 simultaneous positions = higher fee drag than XSM

V4C Range Kalman (BTC 4h)

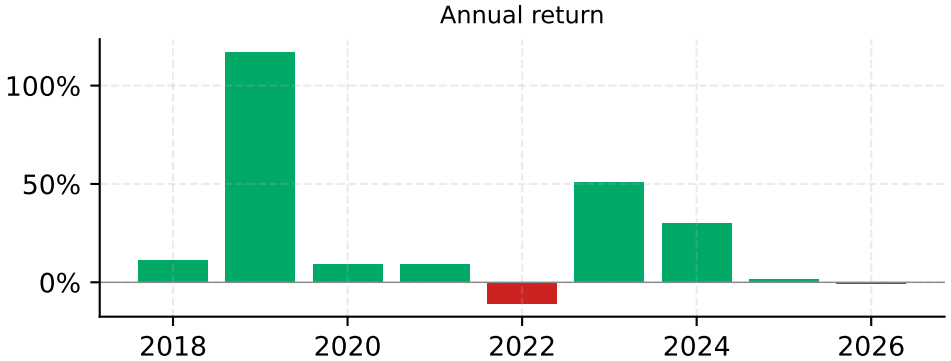
Overall WR 44% · Trades 104 · Strategy class: V4C_range_kalman

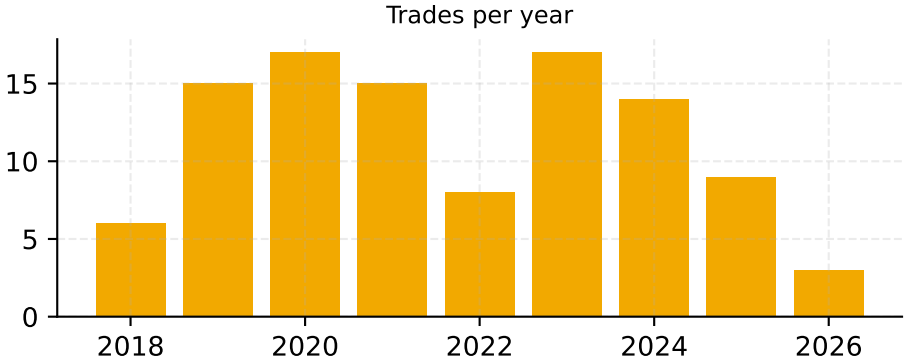




Year-by-year

Yr	Ret	DD	Trades	WR
2018	+11%	-14%	6	33%
2019	+117%	-13%	15	60%
2020	+9%	-28%	17	47%
2021	+9%	-29%	15	40%
2022	-11%	-18%	8	25%
2023	+51%	-14%	17	47%
2024	+30%	-12%	14	43%
2025	+2%	-10%	9	33%
2026	-1%	-7%	3	67%





Metrics (full period): `CAGR +21.9%  Sharpe 0.95  MaxDD -29.3%  Calmar 0.75  Final $51,313`

How it works:

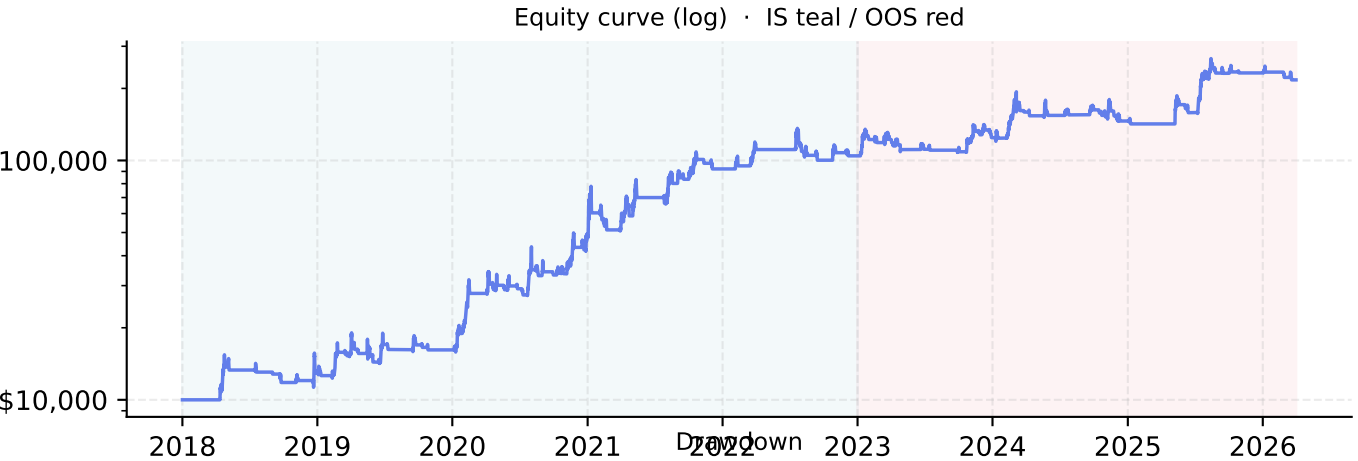
Dynamic range breakout using Kalman-smoothed price; ATR-trailing exit; HTF regime filter.

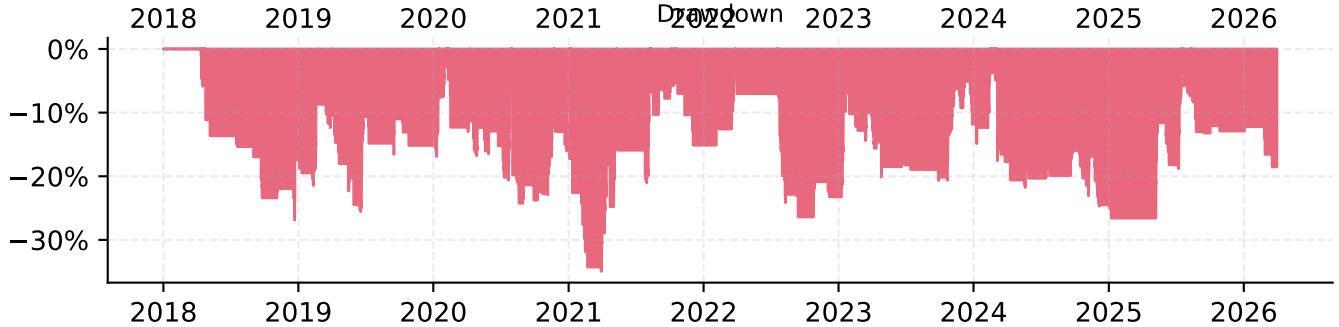
Strengths
- Profitable full period + OOS — walk-forward validated
- Win-rate pattern stable across 2022-2025
- Clean single-coin implementation — easy to monitor

Flaws / Caveats
- Single-coin risk — no diversification within this sleeve
- Drawdown can be large in solo mode
- Edge may fade if coin archetype changes

V3B ADX Gate (ETH 4h)

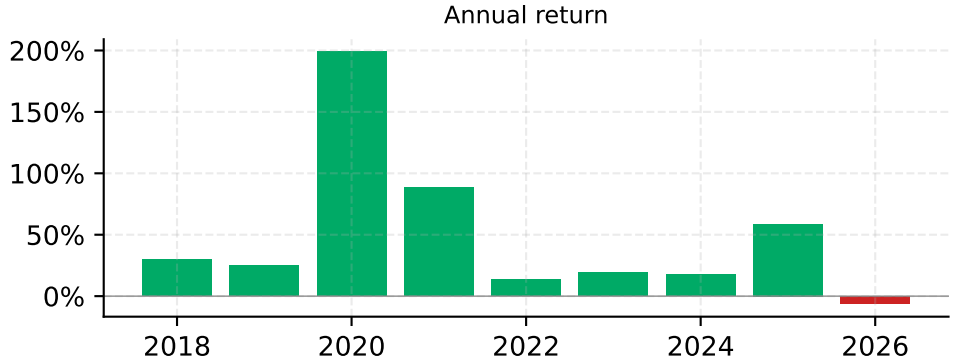
Overall WR 42% · Trades 113 · Strategy class: V3B_adx_gate

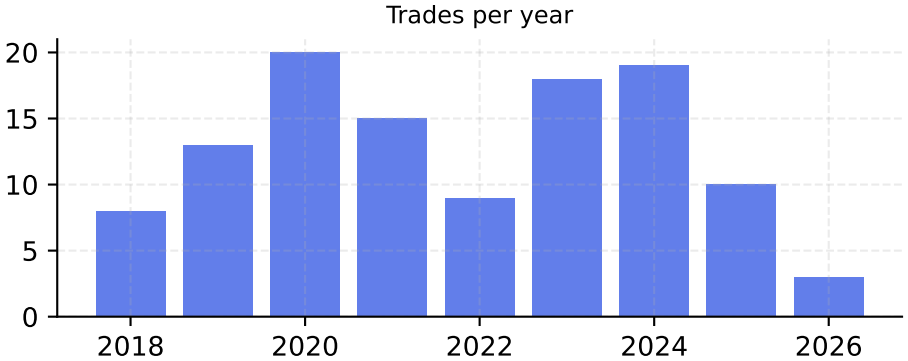




Year-by-year

Yr	Ret	DD	Trades	WR
2018	+30%	-27%	8	38%
2019	+25%	-26%	13	31%
2020	+199%	-24%	20	50%
2021	+89%	-35%	15	40%
2022	+13%	-26%	9	56%
2023	+19%	-20%	18	44%
2024	+17%	-25%	19	37%
2025	+59%	-16%	10	40%
2026	-6%	-12%	3	33%





Metrics (full period): `CAGR +45.3%  Sharpe 1.16  MaxDD -35.0%  Calmar 1.29  Final $217,132`

How it works:

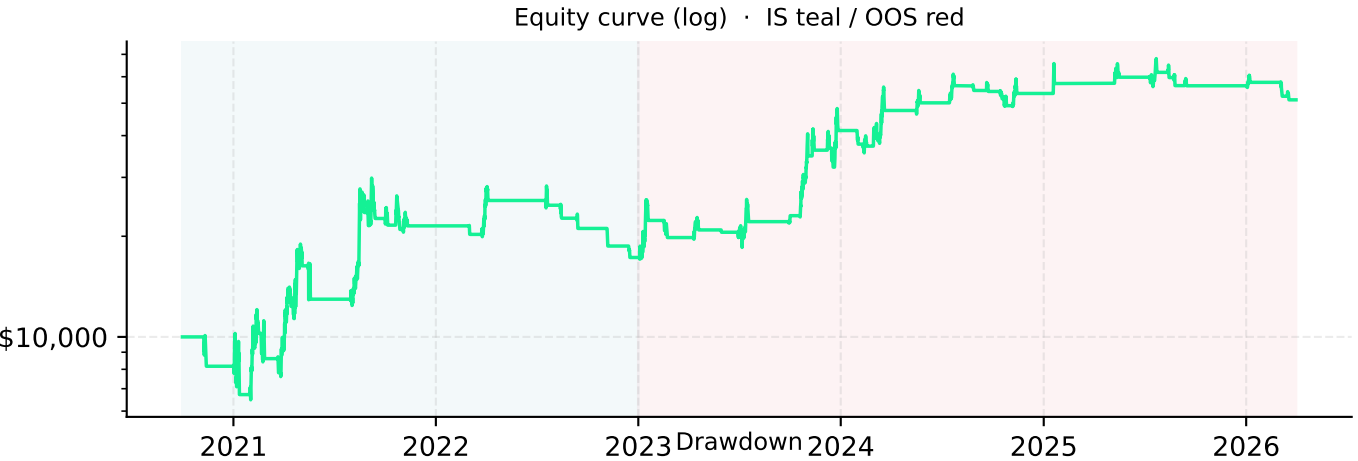
Donchian-break + volume-spike + ADX > 20 + HTF regime. The flagship for ETH.

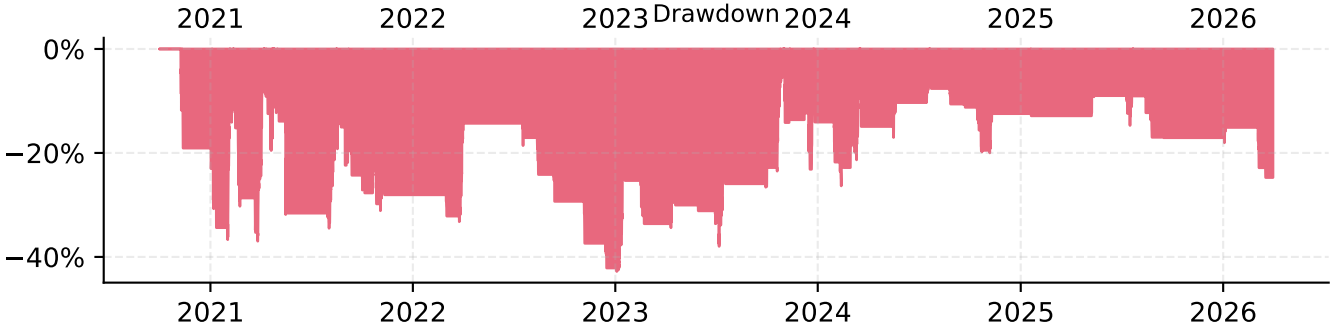
Strengths
- Profitable full period + OOS — walk-forward validated
- Win-rate pattern stable across 2022-2025
- Clean single-coin implementation — easy to monitor

Flaws / Caveats
- Single-coin risk — no diversification within this sleeve
- Drawdown can be large in solo mode
- Edge may fade if coin archetype changes

V4C Range Kalman (SOL 4h)

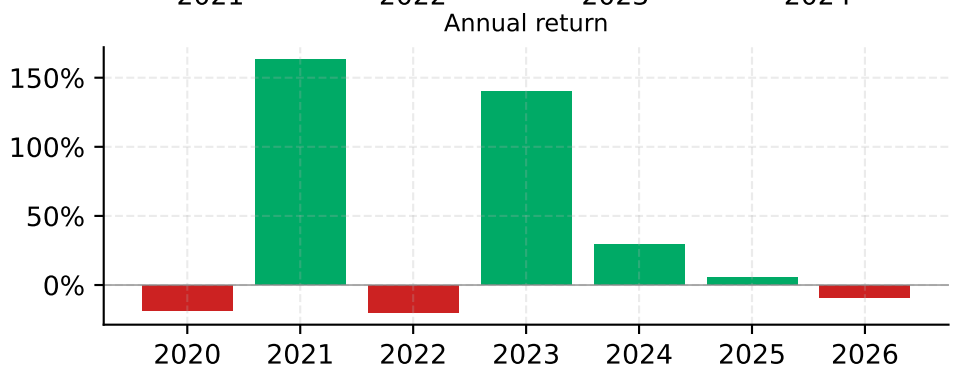
Overall WR 46% · Trades 70 · Strategy class: V4C_range_kalman

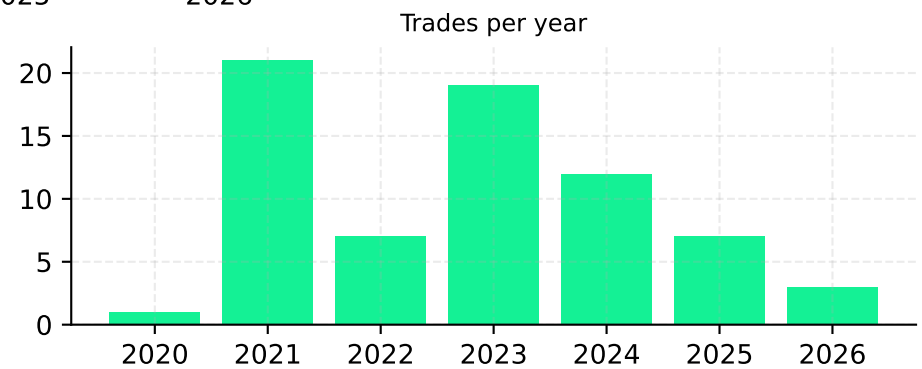




Year-by-year

Yr	Ret	DD	Trades	WR
2020	-18%	-19%	1	0%
2021	+163%	-37%	21	52%
2022	-20%	-39%	7	14%
2023	+140%	-28%	19	58%
2024	+29%	-20%	12	42%
2025	+5%	-17%	7	43%
2026	-9%	-16%	3	33%





Metrics (full period): CAGR +34.6% Sharpe 0.81 MaxDD -42.8% Calmar 0.81 Final $51,173

How it works:

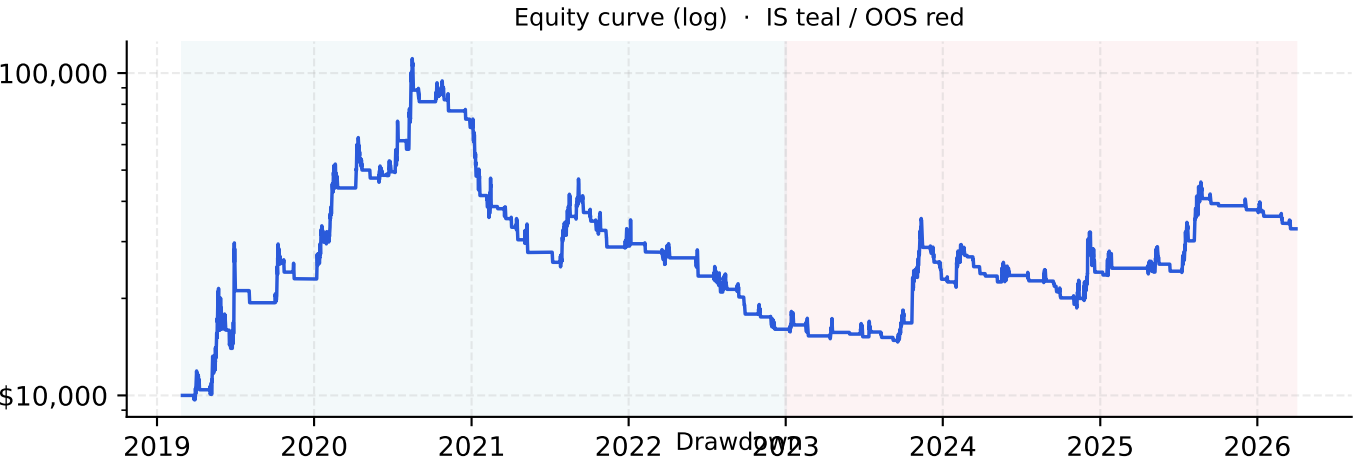
Same V4C logic; SOL's high vol makes the Kalman range band particularly effective.

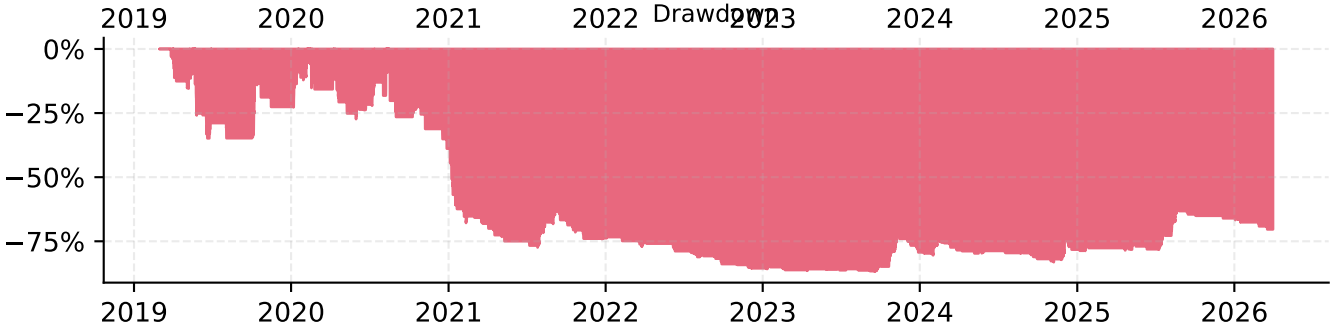
Strengths
- Profitable full period + OOS — walk-forward validated
- Win-rate pattern stable across 2022-2025
- Clean single-coin implementation — easy to monitor

Flaws / Caveats
- Single-coin risk — no diversification within this sleeve
- Drawdown can be large in solo mode
- Edge may fade if coin archetype changes

V3B ADX Gate (LINK 4h)

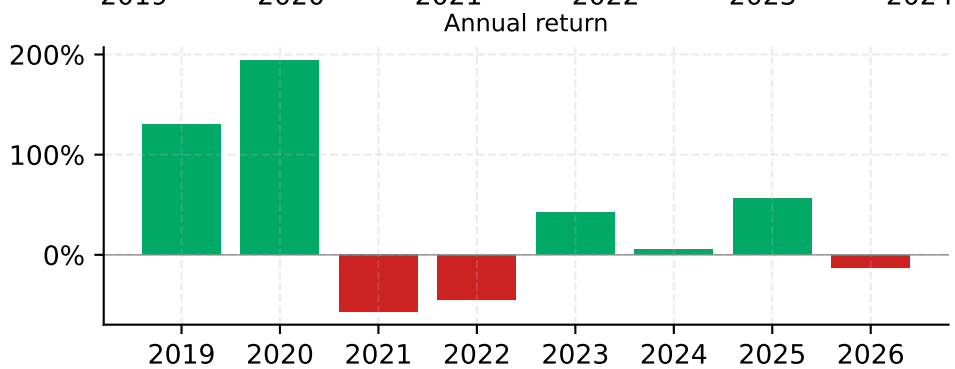
Overall WR 32% · Trades 115 · Strategy class: V3B_adx_gate

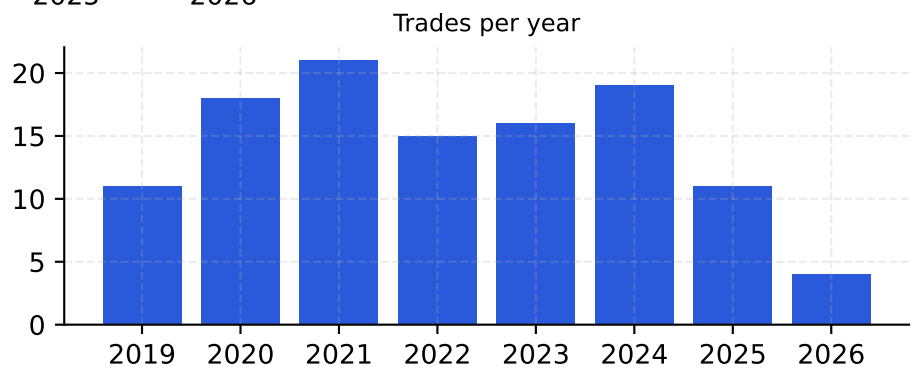




Year-by-year

Yr	Ret	DD	Trades	WR
2019	+130%	-35%	11	45%
2020	+195%	-39%	18	50%
2021	-57%	-65%	21	19%
2022	-45%	-54%	15	20%
2023	+43%	-35%	16	38%
2024	+5%	-36%	19	26%
2025	+56%	-18%	11	45%
2026	-13%	-17%	4	0%





Metrics (full period): CAGR +18.3% Sharpe 0.58 MaxDD -86.8% Calmar 0.21 Final $32,873

How it works:

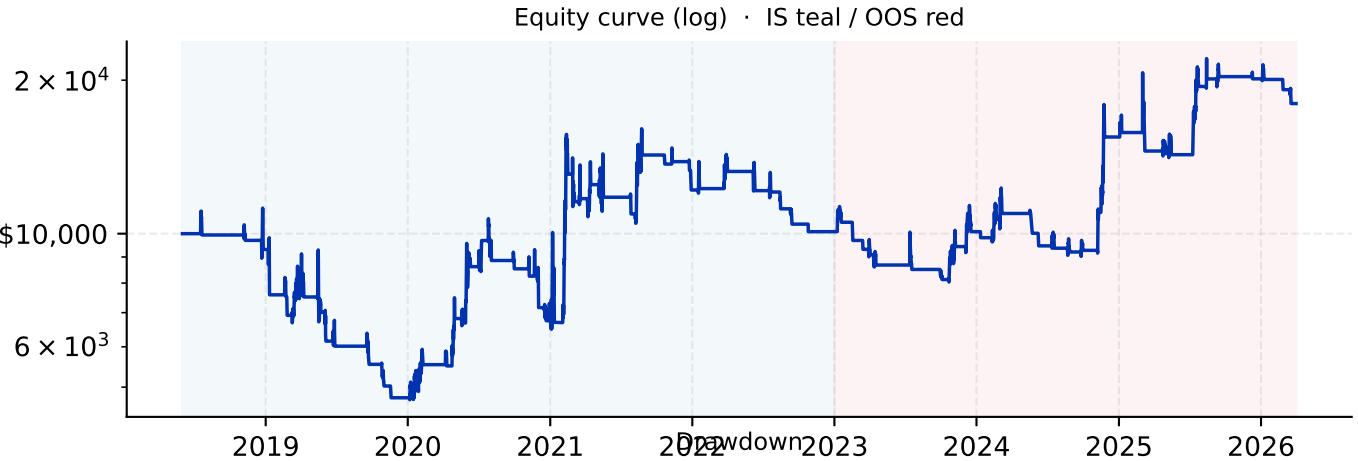
V3B works on LINK because LINK respects DeFi/infrastructure cycle trends.

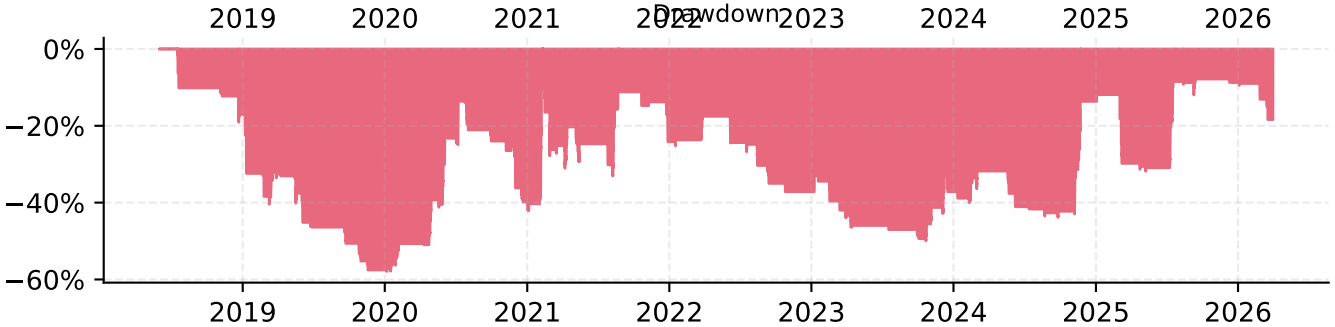
Strengths
- Profitable full period + OOS — walk-forward validated
- Win-rate pattern stable across 2022-2025
- Clean single-coin implementation — easy to monitor

Flaws / Caveats
- Single-coin risk — no diversification within this sleeve
- Drawdown can be large in solo mode
- Edge may fade if coin archetype changes

V4C Range Kalman (ADA 4h)

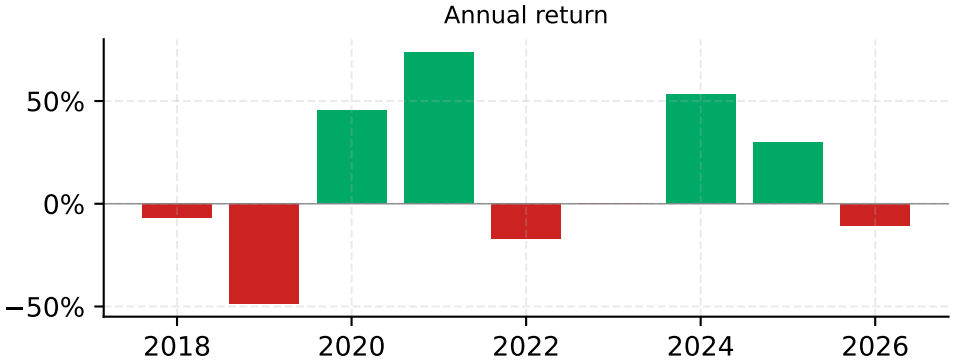
Overall WR 43% · Trades 104 · Strategy class: V4C_range_kalman

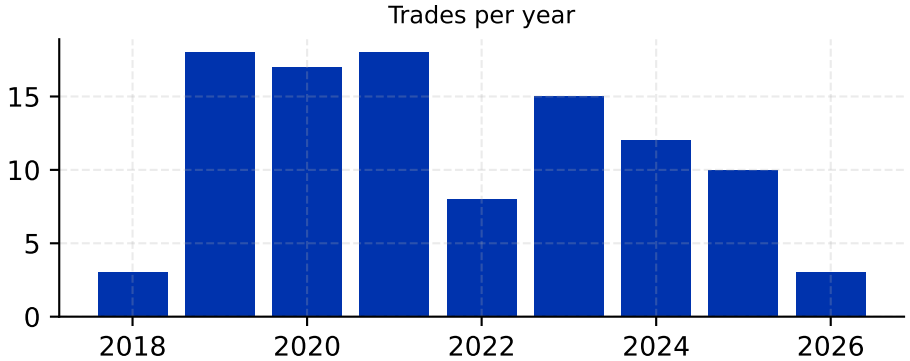




Year-by-year

Yr	Ret	DD	Trades	WR
2018	-7%	-19%	3	0%
2019	-49%	-51%	18	33%
2020	+46%	-37%	17	53%
2021	+74%	-33%	18	50%
2022	-17%	-29%	8	38%
2023	-0%	-29%	15	40%
2024	+53%	-27%	12	50%
2025	+30%	-32%	10	60%
2026	-11%	-16%	3	0%





Metrics (full period): CAGR +7.8% Sharpe 0.39 MaxDD -57.9% Calmar 0.13 Final $17,995

How it works:

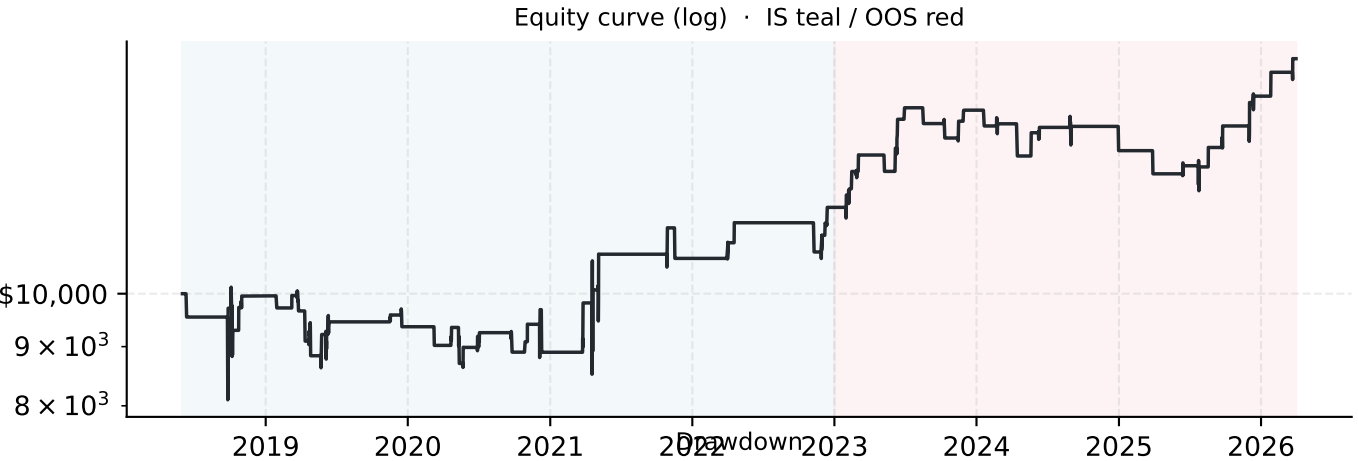
V4C; ADA's lower vol makes signal quality cleaner though CAGR smaller.

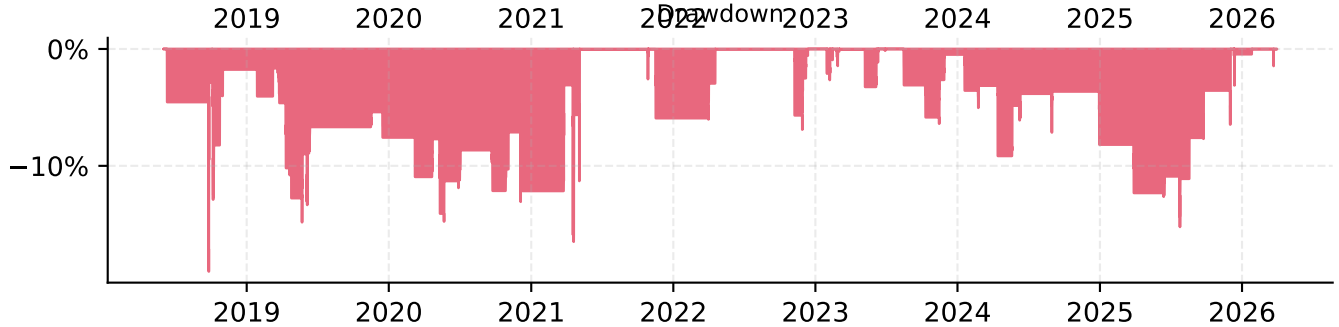
Strengths
- Profitable full period + OOS — walk-forward validated
- Win-rate pattern stable across 2022-2025
- Clean single-coin implementation — easy to monitor

Flaws / Caveats
- Single-coin risk — no diversification within this sleeve
- Drawdown can be large in solo mode
- Edge may fade if coin archetype changes

HWR1 BB Mean-Reversion (XRP 4h)

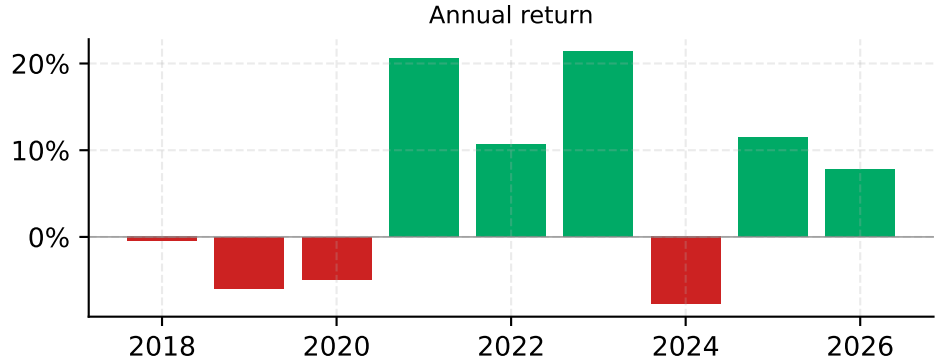
Overall WR 68% · Trades 68 · Strategy class: HWR1_bb_meanrev

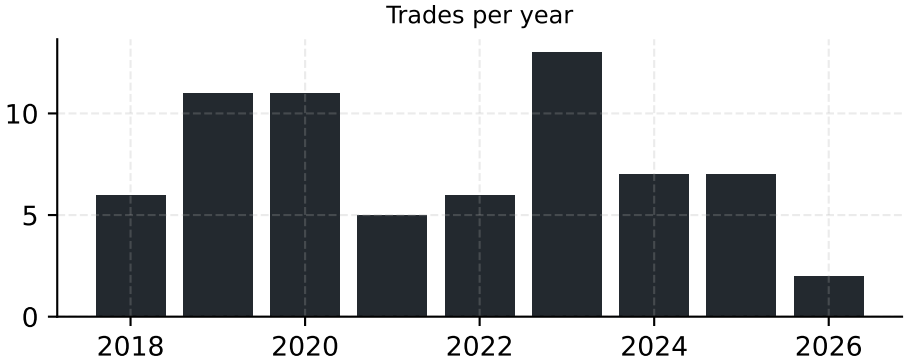




Year-by-year

Yr	Ret	DD	Trades	WR
2018	-0%	-19%	6	50%
2019	-6%	-14%	11	55%
2020	-5%	-8%	11	64%
2021	+21%	-16%	5	80%
2022	+11%	-7%	6	83%
2023	+21%	-6%	13	77%
2024	-8%	-9%	7	57%
2025	+11%	-8%	7	71%
2026	+8%	-1%	2	100%





Metrics (full period): CAGR +6.2% Sharpe 0.43 MaxDD -19.0% Calmar 0.32 Final $15,964

How it works:

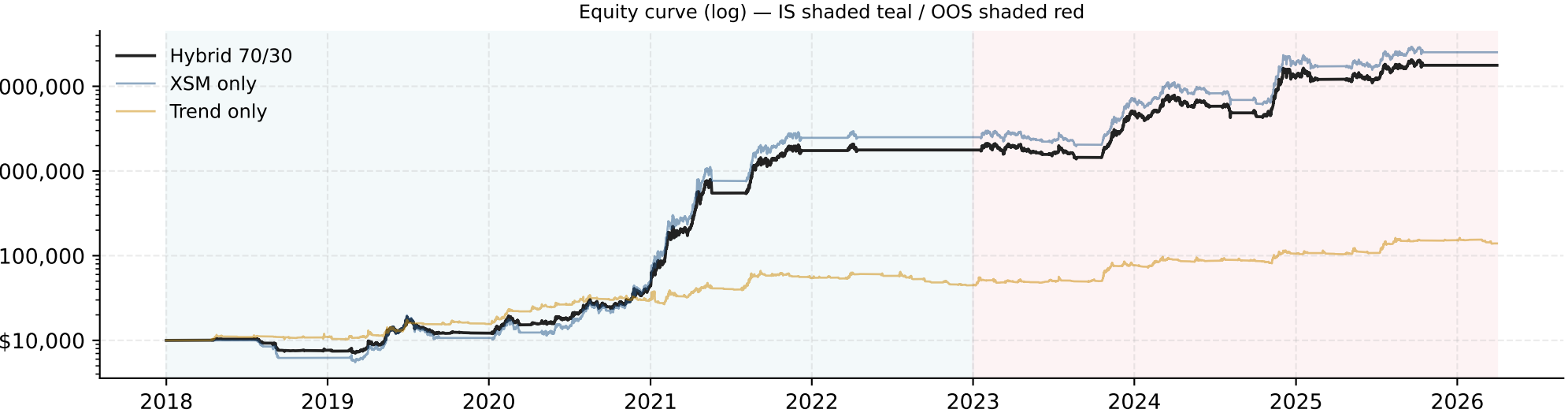
XRP is the only coin with a tradable mean-reverting structure; buy lower BB, exit mid-band.

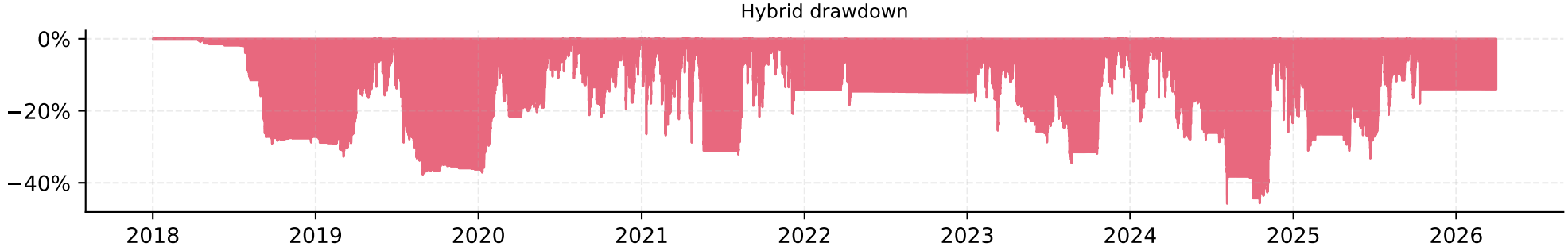
Strengths
- Profitable full period + OOS — walk-forward validated
- Win-rate pattern stable across 2022-2025
- Clean single-coin implementation — easy to monitor

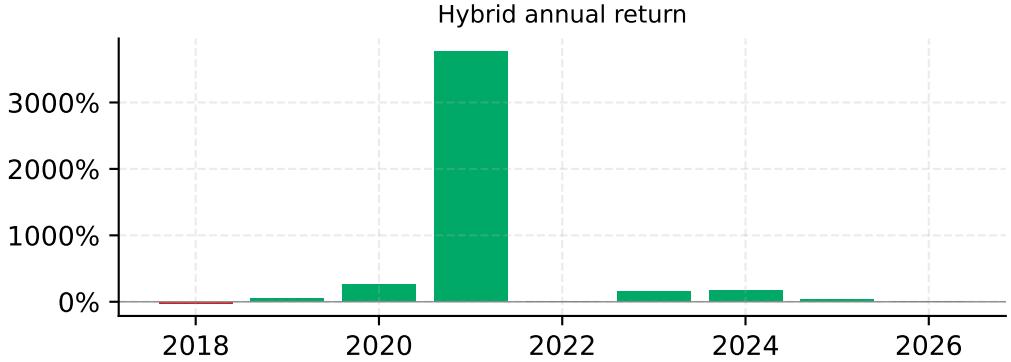
Flaws / Caveats
- Single-coin risk — no diversification within this sleeve
- Drawdown can be large in solo mode
- Edge may fade if coin archetype changes

Combined 70/30 Hybrid — the recommended deployment

70% XSM balanced + 30% Trend baseline — $10,000 start







	CAGR	Sharpe	DD	Final
HYBRID FULL	+147.8%	1.88	-45.8%	$17,705,907
HYBRID OOS	+103.5%	1.53	-45.8%	$17,705,907
XSM only FULL	+158.6%	1.87	-48.3%	$25,234,358
Trend only FULL	+37.7%	1.16	-32.9%	$139,520

XSM ↔ Trend correlation (weekly returns): 0.53 — moderate diversification.

Why 70/30? XSM carries the return; trend sleeve smooths the path. The 70/30 mix tops the Sharpe frontier.

Both sleeves run in parallel on the SAME Hyperliquid account — no capital transfer between sleeves.

Risk management & kill-switches

Per-position guards (both sleeves)

- Hard per-position SL: any single position cannot lose more than 5% of account equity (≈ 1.5×ATR stop already enforces this for trend).
- Max concurrent positions: 10 (4 XSM + up to 6 trend). Reject new entries if limit reached.
- Fat-finger cap: reject any order with notional > 3× the spec sizing.

Sleeve-level guards

- XSM sleeve: if BTC closes below 100-day SMA, CLOSE all XSM positions and stay flat until BTC > MA for 2 full weekly bars.
- Trend sleeve: no sleeve-level circuit breaker; each strategy's built-in trailing stop is the circuit.

Account-level kill-switch

- -40% from ATH: pause new entries in BOTH sleeves for at least 1 week.
- Resume condition: BTC closes above its 100-day SMA for 5 consecutive days AND combined equity is not still making new lows.
- Permanent halt: if combined equity drops -65% from ATH, stop everything, review strategy, re-backtest from scratch.

Operational safeguards

- No --no-verify on trading code — keep the test suite green.
- Wallet keys in .env only. NEVER commit .env; NEVER paste API keys in logs.
- Cross-check nightly: Hyperliquid reported positions vs state.json. Halt on any mismatch > 1%.
- Upgrade scripts in a feature branch + backfill replay before merging; mismatched replay = hard no-merge.

Catastrophic-scenario plan

- Hyperliquid outage: positions remain open; set tight limit-order stops before every reset / upgrade window.
- Coin delisting: XSM runner must skip delisted coins (check exchangeInfo daily before ranking).
- Flash crash -30% in <1h: the BTC-MA filter won't fire in time — accept it as pre-priced DD in spec.
- Strategy drift: if rolling 3-month Sharpe < 0.5 for 2 consecutive months, halt and investigate.

Step-by-step Hyperliquid deploy checklist

Phase 0 — Preparation

- ☐ Open a Hyperliquid account, deposit USDC (start 1,000 + *ifpossible*; 300 minimum).
- ☐ Set account-wide max leverage = 5× in the Hyperliquid UI (per-position can be less).
- ☐ Enable perpetuals for BTC, ETH, SOL, BNB, XRP, DOGE, LINK, ADA, AVAX.
- ☐ Create an API key (read-write) for automation; secure in a .env file.

Phase 1 — Backfill + dry-run (week 1)

- ☐ Run: python -m strategy_lab.live_forward --reset && python -m strategy_lab.live_forward --backfill 90
- ☐ Confirms 90 days of backfilled signals on the trend sleeve, state populated.
- ☐ Build equivalent live_forward_xsm.py (weekly rebalance script) — skeleton mirrors live_forward.py.
- ☐ Run both --use-parquet for 24h; compare equity to backtest — tolerance ±2%.

Phase 2 — Paper trading on Hyperliquid testnet (weeks 2-5)

- ☐ Point both runners at Hyperliquid testnet API (free demo funds).
- ☐ Start with BALANCED profile: 1× XSM, 5× trend, BTC-100d bear filter ON.
- ☐ Let it run for a full 4-week cycle — minimum of 4 XSM rebalances + 5+ trend entries.
- ☐ After each week, diff live trade log vs backtest simulation on the same bars (±1% return).

Phase 3 — Live on mainnet with $300-1k (weeks 6-10)

- ☐ Deposit the MINIMUM comfortable capital to test in anger.
- ☐ Run both runners against mainnet API; confirm order fills match paper.
- ☐ Monitor daily equity.csv vs projected equity. First 4 weeks expect ±15% deviation — noisy.
- ☐ Do NOT add capital mid-drawdown; only scale up after 4 consecutive profitable weekly rebalances.

Phase 4 — Scale to target capital ($5k+, ongoing)

- ☐ Target capital = 10× initial live test. Scale in 3 tranches over 2 months.
- ☐ Maintain the 70/30 split at each scale-up — do NOT overweight whichever sleeve is winning.
- ☐ Rebalance sleeve weights to 70/30 quarterly if the natural drift exceeds ±10%.

Phase 5 — Permanent monitoring

- ☐ Weekly: check equity.csv, rebalance log, open positions.
- ☐ Monthly: rolling 3-month Sharpe — if < 0.5 for 2 consecutive months, halt XSM sleeve.
- ☐ Any -40% drawdown from ATH: halt BOTH sleeves; resume only when BTC > 100d-MA for 1 full week.